



English, Economics, Politics, and Philosophy

Unit 1 Evolution of Economics

Lesson 1.4: Should We Trade? (Part 1)

Pertinent Concepts Exchange/Transaction

- **Mercantilism** (**protectionism**) the ideology of protection
- **Trade Barrier** Block
- Free Trade and Globalization
- David Ricardo - Comparative Advantage

Learning Goals:

- I will understand the protectionist policies
- I will learn the barriers of trade
- I will be able to connect globalization with free trade
- I will comprehend the rationale of comparative advantage

Success Criteria:

- I can discuss why trading is important for the market

MINDS ON

Question 1: Do you think ^{countries} ~~nations~~ should trade between each other? Will trading, by any means, ^{damage/slow down} ~~hinder~~ one country's economy, e.g., probably a country will thus lose its ability to produce a certain kind of goods.
the country will no longer be independant!



They should trade between each other. Because they can try others' product - consumer will have more choices. 9/10 good argument
Quantity-supplied (amount traded) in the market increases, products become less scarce, price becomes cheaper - people will have cheaper products in general, thus having trade should be better.

ACTION

I. Mercantilism (Protectionism)

Mercantilism, economic theory and practice common in Europe from the 16th to the 18th century that promoted governmental regulation of a nation's economy **increase** for the purpose of **augmenting** state power at the expense of **rival** national powers.

It was the economic **counterpart of political absolutism**. Its 17th-century publicists—most notably Thomas Mun in England, Jean-Baptiste Colbert in France, and Antonio Serra in Italy—never, however, used the term themselves; it was given **currency** by the Scottish economist **Adam Smith** in his **Wealth of Nations (1776)**.

A strong nation, according to the theory, was to have a **large population**, for a large population would **provide a supply of labour, a market, and soldiers**. **Human wants were to be minimized**, especially for imported luxury goods, **for they drained off precious foreign exchange**. It consists of two major benefits: 1) to **they don't trade** empower a nation's production capacity 2) to prevent others taking advantage on importing goods to a nation. 3) they aim to be self-sufficient

Were they friends before?

Indeed, most European countries belonged to the same family; Monarchs back then were relatives.

II. Trade Barrier

Trade Barrier refers to the blocks to hinders quantity-traded. This 'block' can be erected through three ways: 1) tariff, 2) embargo, and 3) quotas



1. Tariff: A tariff is defined as a tax imposed on goods imported. A tariff can either be on a particular country or on a commodity. Tariffs are the most common way of imposing a Trade Barrier to another country. Tariffs are part of a government policy known as Protectionism.
2. Embargo: an official ban on trade or other commercial activity with a particular country. For example, Australia and China.
3. Quota: Import Quotas refers to the policy of only allowing a certain amount of a particular commodity to be imported. For example, if a country only allows 1,000 metric tons of wheat to be imported, it is an import quota.